

BUSINESS INSIGHTS & RECOMMENDATIONS REPORT

Global Superstore – Week 3 Advanced Analysis

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This report presents the deeper analysis performed on the Global Superstore dataset (2011–2014) using my two-page Power BI dashboard (Executive Overview and Advanced Analysis). It covers the three business problems I investigated, the key insights the data revealed, and my recommendations for management.

SECTION A – BUSINESS PROBLEMS INVESTIGATED

Problem 1: High discounts are destroying profitability

I grouped every order by discount level (None, Low, Medium, High) and compared profit margins. Orders sold with no discount earn a healthy margin of around 25%. As discounts rise, margin falls, turns negative at the 21–40% level, and at discounts above 40% the margin is deeply negative (around –60%). This is the single biggest reason the company's overall margin is stuck at 11.61%, we are routinely buying sales volume at the cost of profit.

Problem 2: Loss-making products hiding inside a growing business

I analysed profit by sub-category, listed the 10 worst products by profit, and plotted sales against profit. Tables is the only sub-category in the red, and the worst products (mostly office furniture such as Lesro, Bevis and Chromcraft items) each lose up to about \$10K per year. The scatter plot also shows products with over \$1M in sales that still end up below the zero-profit line. Strong sales figures were masking these losses, volume is not profit.

Problem 3: Growth without margin, and uneven markets

I compared yearly performance and market contribution. Sales doubled from about \$2.2M in 2011 to about \$4.3M in 2014, yet the margin never moved from around 11.6%. APAC and EU bring large sales with thin profit, the US converts sales into profit most efficiently, and Africa and Canada remain small contributors. The Consumer segment leads revenue, but every segment runs on thin margins. The company is growing in size, not in efficiency.

SECTION B – KEY INSIGHTS

Growth is real but shallow: sales doubled between 2011 and 2014 and profit grew too, yet margin stayed flat at about 11.6%.

Discount level predicts profit better than product or region: roughly +25% margin with no discount versus deeply negative above 40%.

Furniture — especially Tables, is the main profit leak, and the 10 worst products are mostly furniture items.

Big sales do not mean big profit: several products with more than \$1M in sales still lose money.

High-value customers are the bright spot: my top 10 customers deliver about \$299K in sales at roughly 24.5% margin, more than double the company average, which proves that low-discount selling works.

The US market remains the benchmark for efficiency, while APAC and EU generate revenue with thin returns.

SECTION C – RECOMMENDATIONS

Cap discounts. Set 20% as the standard maximum and require director-level approval for anything above 40%. Eliminate routine 60–80% discounts (evidence: margin by discount bracket).

Fix the furniture leak. Reprice Tables, and either discontinue or bundle the worst furniture SKUs instead of selling them at a loss (evidence: sub-category and bottom-10 product charts).

Copy the high-value customer playbook. Study why the top 10 customers achieve 24.5% margin and train the sales team to sell value instead of discounting (evidence: top-customer matrix).

Rebalance regional focus. Grow the efficient US market and review pricing and shipping costs in Africa and Canada; set margin targets per market, not just sales targets (evidence: market performance charts).

Run the business on the dashboard. Hold a monthly KPI review using the dashboard and set a target of lifting overall margin from 11.6% to 14% within 12 months.